

MONOPOLY & MONOPOLISTIC COMPETITION

Section A

Duration of each question is **40 mins**.

- 1 Evaluate the view that monopolistically competitive firms will always charge lower prices and operate more efficiently than a monopoly firm. [20]

- 2 Some firms frequently use price discrimination.

Assess the view that when this occurs, price discrimination will always benefit the producer at the expense of the consumer and society. [20]

- 3 A government allows the merger of two large firms in the same industry.

With the help of a diagram, evaluate the view that this merger should not have been allowed. [20]

- 4 Evaluate the consequences for the price and output of a firm if it changes its objective from profit maximisation to sales maximisation as a response to the principal-agent problem. [20]

- 5 Privatisation is often required by the International Monetary Fund (IMF) and the World Bank before they are prepared to offer support to countries requiring loans, grants, debt relief and debt cancellation programs.

Evaluate the view that privatisation will always improve the allocation of resources in a country. [20]

- 6 Evaluate, with the help of a diagram(s) how total market demand and minimum efficient scale may determine the form of market structure in an industry. [20]

Section B

Answer **all** questions

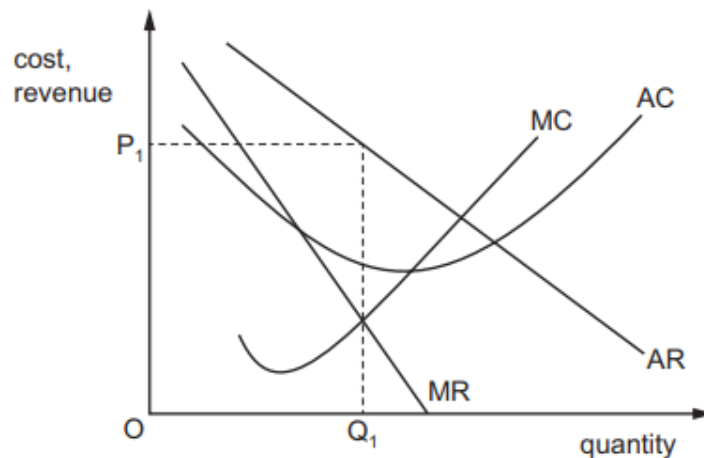
Duration 2hr 30mins

1. The costs and revenue of four firms operating in a monopolistically competitive market are shown.

firm	total variable cost \$m	total fixed cost \$m	total revenue \$m
W	20	10	15
X	40	50	80
Y	300	300	500
Z	600	100	550

Which firms will continue to operate in the short run but will shut down in the long run?

- A** X and W **B** X and Y **C** W and Z **D** Y and Z
2. The diagram shows the short-run equilibrium for a firm operating in a monopolistically competitive market.



What is **not** likely to occur at the long-run equilibrium?

- A** The individual firm's demand curve is more elastic.
B The individual firm's demand curve has moved left.
C The profit-maximising price is greater than average cost.
D The profit-maximising price is greater than marginal cost.

3. Which combination indicates monopolistic competition?

	freedom of entry	product	demand curve
A	high barriers	differentiated	downward sloping
B	high barriers	unique	downward sloping
C	low barriers	differentiated	downward sloping
D	low barriers	homogenous	horizontal

4. What is achieved in monopolistic competition in the long run?

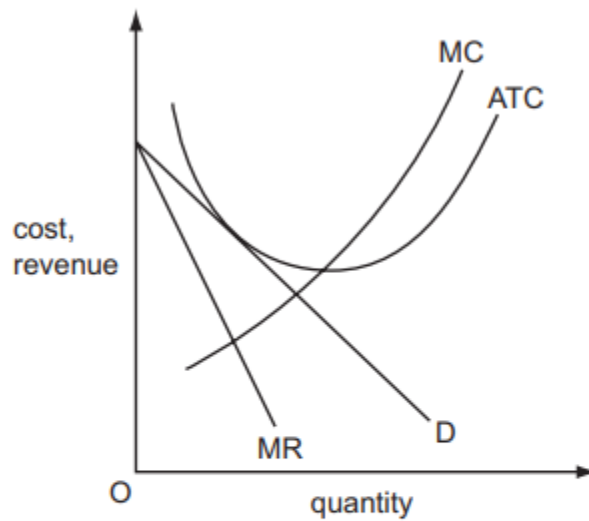
	allocative efficiency	supernormal profit
A	no	no
B	no	yes
C	yes	no
D	yes	yes

5. A firm in monopolistic competition that is producing at its profit maximising output is making a loss in the short run.

For it to continue in production, what must be correct about its average revenue (AR), marginal revenue (MR) and average variable cost (AVC)?

- A** $AR = MR$; $AVC > AR$
- B** $AR = MR$; $AVC < AR$
- C** $AR > MR$; $AVC > AR$
- D** $AR > MR$; $AVC < AR$

6. The diagram shows the cost and revenue curves of a firm.



What does the diagram represent?

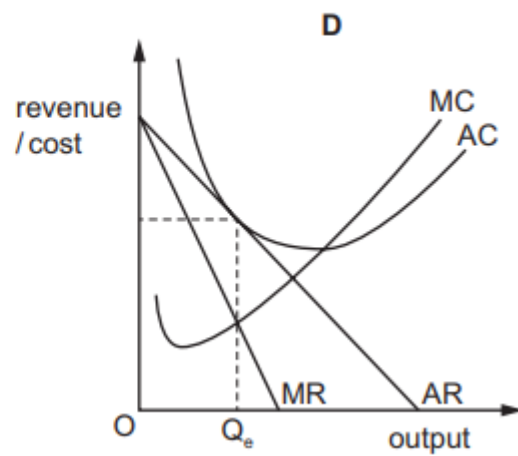
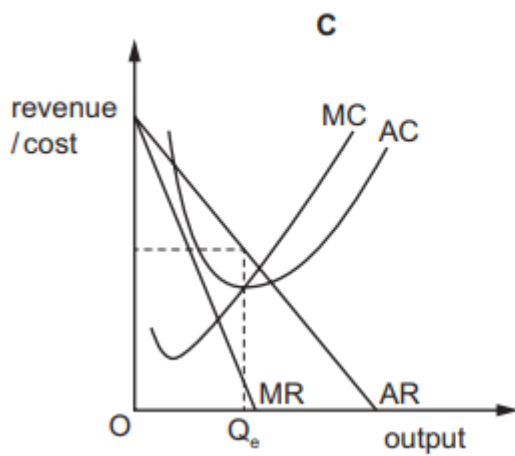
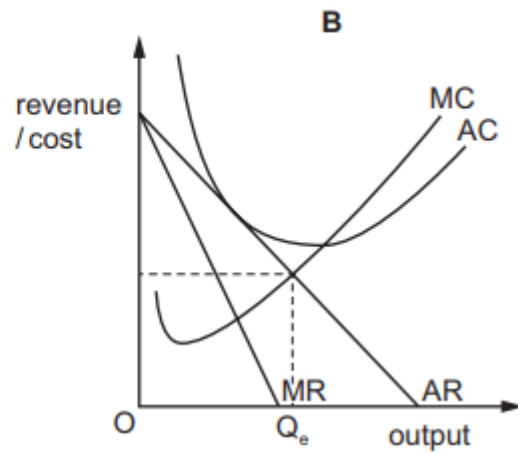
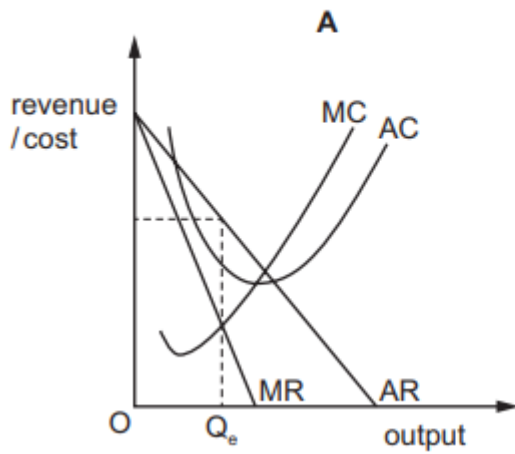
- A** a firm in monopolistic competition making normal profit
 - B** a firm in monopolistic competition making short-term losses
 - C** a firm in perfect competition at long-run equilibrium
 - D** a monopoly making abnormal profits
7. Firms in a market advertise their products with different brand names. Some make more profit than others in the short run but all make normal profit in the long run.

Which market structure is this?

- A** perfect competition
- B** monopolistic competition
- C** oligopoly
- D** monopoly

8. What is most likely to be the reason why monopolistically competitive firms are able to influence price?
- A The firms in the industry are able to prevent the entry of new firms when abnormal profits are earned.
 - B The firms produce where average costs are falling and so experience excess capacity.
 - C The output is where marginal revenue exceeds average revenue.
 - D The products are differentiated and so are not perfect substitutes.
9. A firm in monopolistic competition is maximising profit and producing at the minimum point on its average total cost curve.
- What could **not** be correct?
- A Marginal cost equals average cost.
 - B Marginal cost equals marginal revenue.
 - C The firm is making normal profit.
 - D The firm is making supernormal profits.
10. A firm in monopolistic competition increases its expenditure on marketing its product.
- What will it **not** be able to achieve as a result?
- A a higher long-run profit
 - B a higher selling price
 - C a more differentiated product
 - D a more inelastic demand

11. Which diagram shows a monopolistically competitive firm in long-run equilibrium?

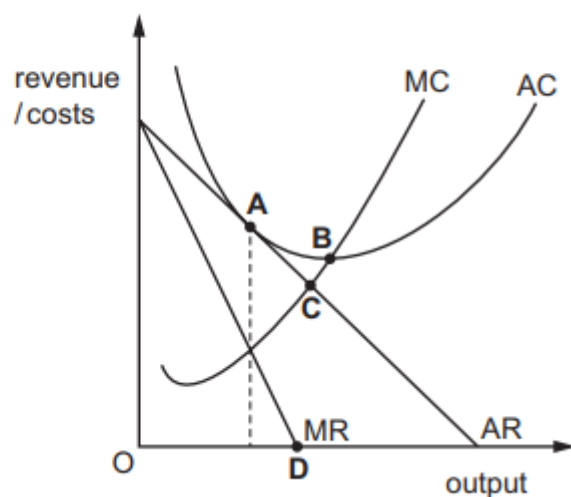


12. What is a characteristic of monopolistic competition?

- A** abnormal profits in the long run
- B** advertising supporting product differentiation
- C** all firms charge the same price
- D** barriers to entry are high

13. The diagram shows a firm operating in monopolistic competition.

At which point is the firm allocatively efficient?



14. What is **always** present in monopolistic competition and perfect competition in the long run?

- A average revenue = average costs
- B average revenue = marginal revenue
- C average costs = marginal costs
- D average costs = marginal revenue

15. In market economies firms can operate under monopolistic competition.

Which feature is **not** typical of this type of market?

- A non-price competition through advertising
- B price leadership with few large firms
- C promotion of differentiated products
- D unrestricted entry results in long-run normal profit

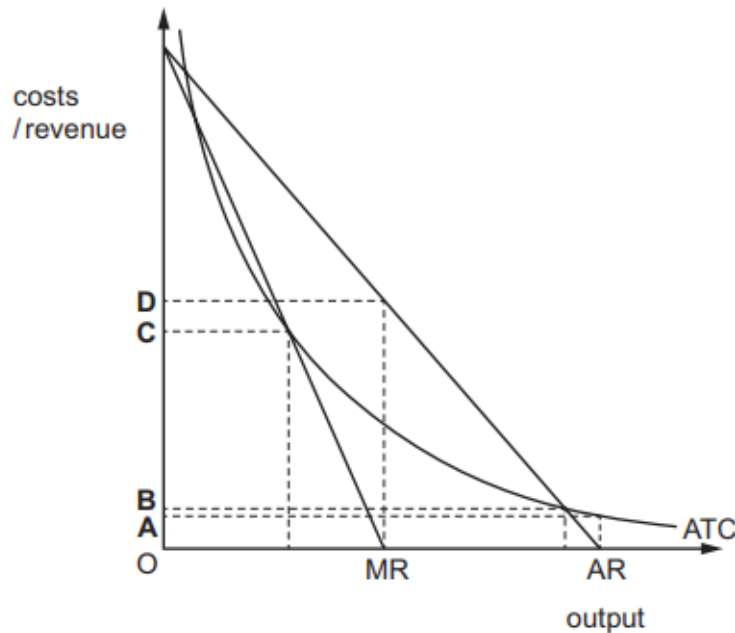
16. A firm is already the monopoly producer of product X.

Which strategy might the firm pursue in order to prevent new firms from entering the market for product X?

- A co-operation
- B limit pricing
- C predatory pricing
- D price leadership

17. The diagram shows the cost and revenue curves of a monopolist whose only cost of production is a fixed cost.

What will be the monopolist's profit maximising price?

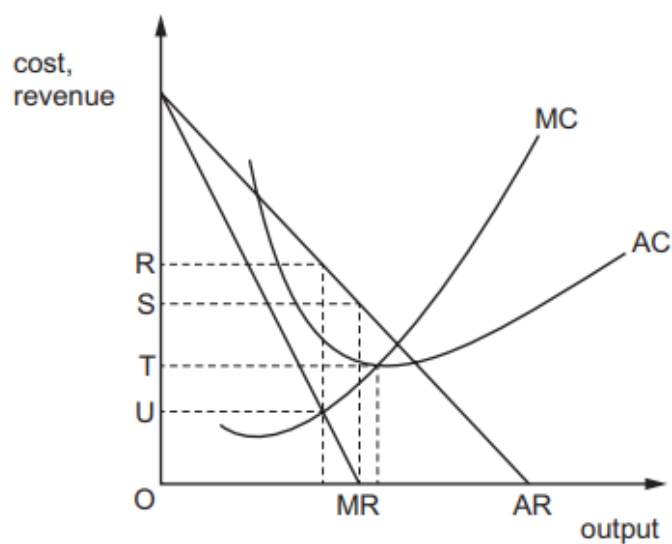


18. A monopolist chooses an output that maximises profits and makes normal profits.

What must be correct at the output chosen?

- A Average cost equals average revenue.
- B Average revenue equals marginal revenue.
- C Marginal cost is at a minimum.
- D The monopolist is allocatively efficient.

19. The diagram shows a profit-maximising monopolist.

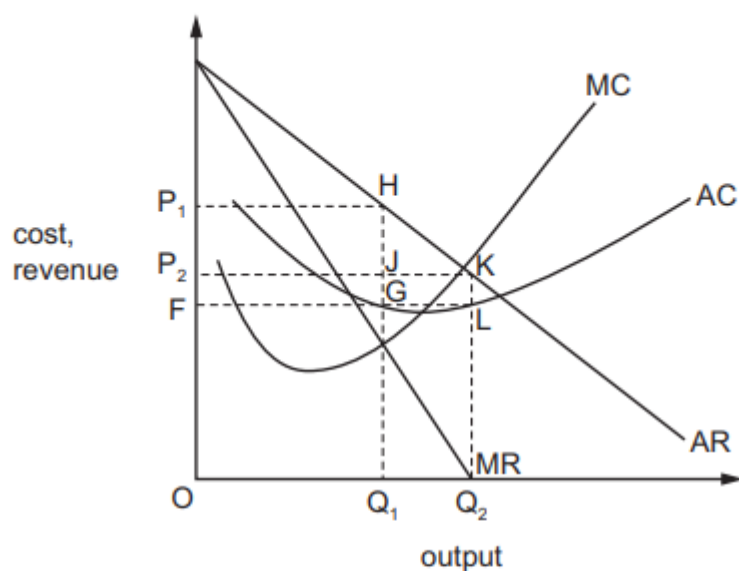


What would be the change in price if this monopolist changed from profit maximisation to revenue maximisation?

- A** R to S **B** R to T **C** U to S **D** U to T
20. Which statement about a monopoly is correct?
- A** Profit maximisation occurs when average cost equals average revenue.
- B** Sales maximisation occurs when marginal cost equals marginal revenue.
- C** Sales revenue maximisation occurs when marginal revenue is equal to zero.
- D** Satisficing occurs when marginal cost is equal to zero.
21. What identifies the output level required to meet the stated aim of a monopoly firm?

	aim of firm	produce at output where
A	maximum efficiency	marginal cost is at a minimum
B	profit maximising	marginal cost is equal to average revenue
C	quantity of sales maximising	marginal revenue is equal to average cost
D	revenue maximising	marginal revenue is zero

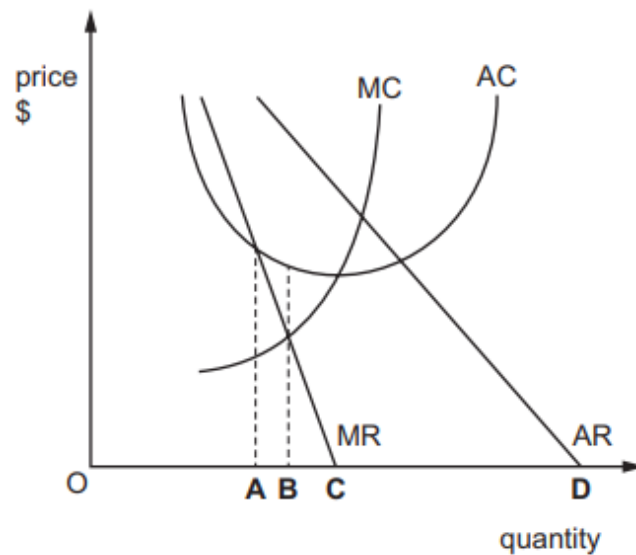
22. A monopolist changes its objective from sales revenue maximisation to profit maximisation.



On the diagram, which areas represent the monopolist's total profit?

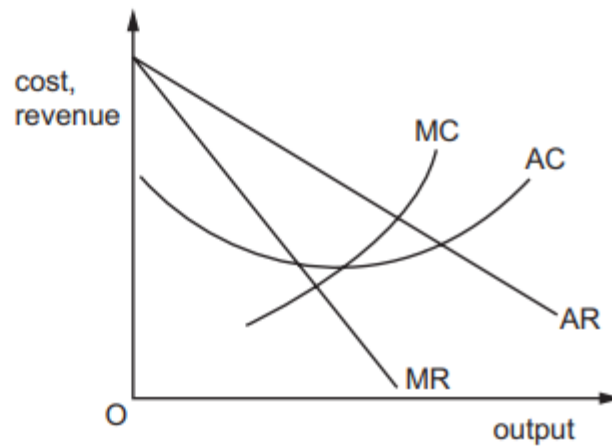
	original profit	final profit
A	HKLG	P_1HKP_2
B	JKLG	P_1HGF
C	P_2JGF	P_1HJP_2
D	P_2KLF	P_1HGF

23. The diagram shows the cost and revenue curves for a firm in an imperfectly competitive market. What is the revenue maximising output of the firm?



24. What is generally associated with the principal-agent problem?
- A Directors prefer company growth to greater shareholder dividends.
 - B Managers ignore workers' concerns about safety in the workplace.
 - C Shareholders determine the price of products.
 - D Workers go on strike against managers' reorganisation plans.

25. The diagram shows a firm's cost and revenue curves.

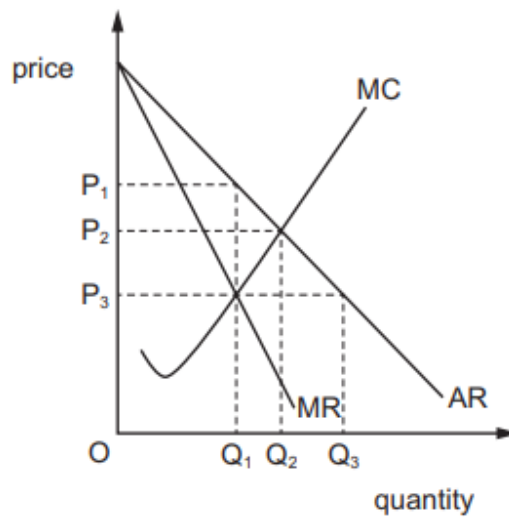


The firm embarks on a single successful \$100 million advertising campaign

How will this affect its costs and revenue curves?

	MR curve	AR curve	MC curve	AC curve
A	shifts to right	shifts to right	shifts up	unchanged
B	shifts to right	shifts to right	unchanged	shifts up
C	unchanged	unchanged	shifts up	unchanged
D	unchanged	unchanged	unchanged	shifts up

26. The diagram shows the cost and revenue curves for a monopoly market structure.

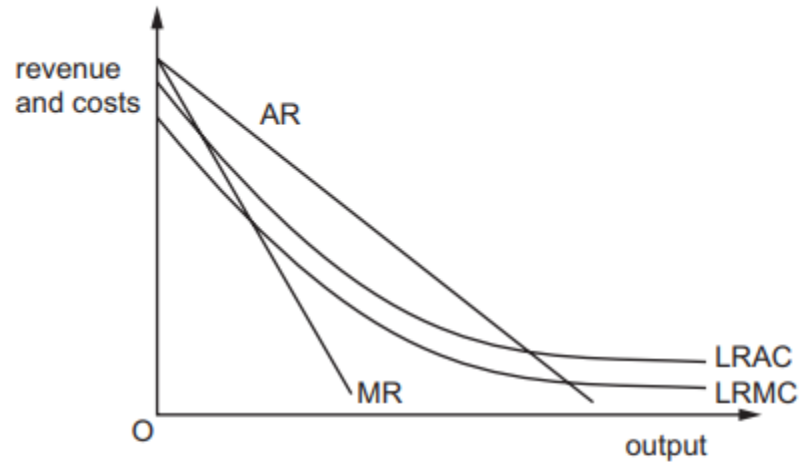


A monopoly was producing at P_1Q_1 but changed its aim and now produces at P_2Q_2 .

What would **not** have caused this change?

- A** It has stock it wants to sell.
- B** It is concerned about new entrants.
- C** It wants to benefit from greater economies of scale.
- D** It wants to maximise profits.

27. The diagram shows the long-run cost and revenue curves for a public sector monopoly.

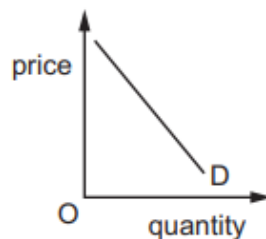


The government decides to set a price that maximises social welfare.

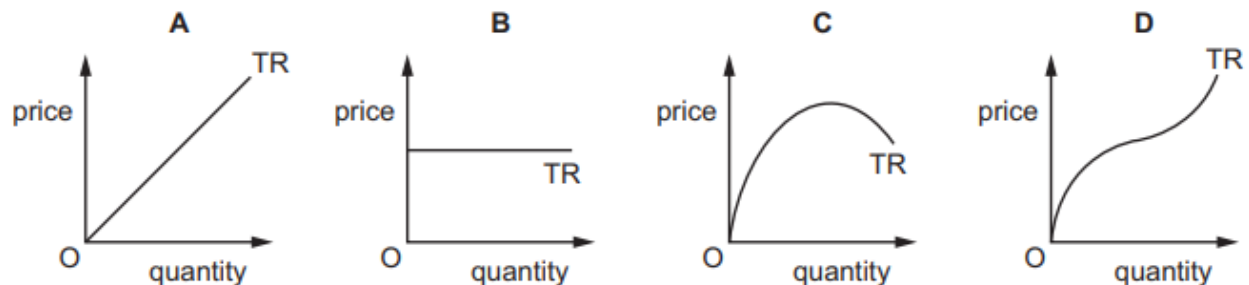
What will be the consequence of this decision?

- A** The firm will experience diseconomies of scale.
- B** The firm will make a loss.
- C** The firm will maximise profits.
- D** The firm will maximise total revenue.

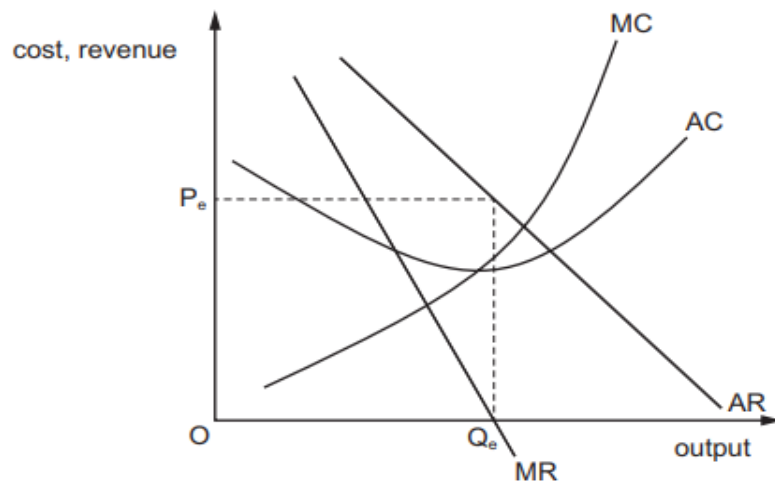
28. The diagram shows the demand curve for a firm's product.



Which diagram depicts the shape of the firm's corresponding total revenue (TR) curve?



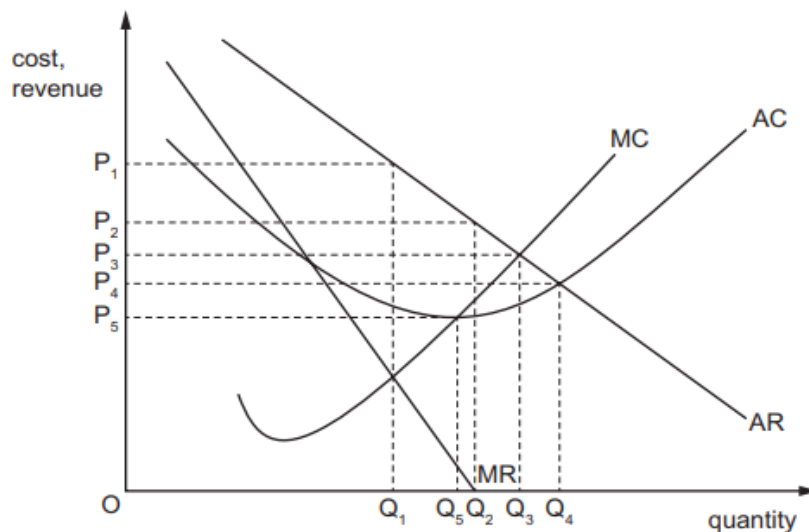
29. The diagram shows the costs and revenues of a firm that is producing output Q_e with a price P_e .



What would explain this?

- A** The firm is deliberately selling below cost to keep out potential entrants.
- B** The firm wants to maximise the volume of sales to gain economies of scale.
- C** The managers' salaries are related to revenue rather than to profits.
- D** The managers want to have a large team working for them to increase their status.

30. The diagram shows the cost and revenue curves of a firm in a contestable market.



It is currently charging the profit-maximising price OP_1 . In order to deter entrants the firm decides to change its aim to sales maximising.

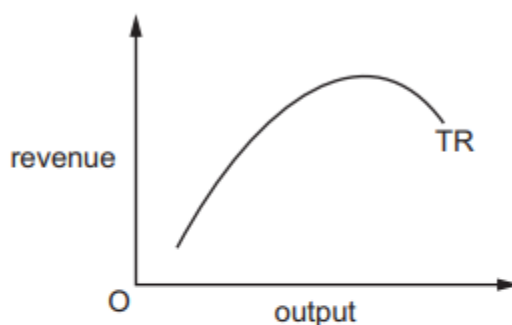
What price will achieve this new aim?

- A** OP_2
- B** OP_3
- C** OP_4
- D** OP_5

31. Which combination of characteristics are likely to be found in almost all high-growth firms?

	high productivity	high market share	high levels of employment	high levels of innovation
A	✓	✓	x	x
B	✓	x	x	✓
C	x	✓	✓	x
D	x	x	✓	✓

32. The diagram shows a firm's total revenue curve.



What is true at the highest point on the curve?

- A** Average revenue equals marginal revenue.
- B** Average revenue is zero.
- C** Marginal revenue is zero.
- D** Maximum profits are made.

33. When would the aim of a firm be most likely to be other than profit maximisation?

- A** when there are a large number of firms in the industry
- B** when there are a large number of shareholders and few paid managers
- C** when there is a large investment expenditure required
- D** when there is a large output produced

34. What is necessary for price discrimination to be profitable?
- A There must be many buyers.
 - B There must be markets with different price elasticities of demand.
 - C There must be product differentiation.
 - D There must be separate markets.
35. A firm with a downward-sloping straight line demand curve for its product is producing at an output where its marginal revenue is positive.
- Which strategy would be most effective if the owners of the firm want to maximise the total revenue of the firm?
- A decrease the firm's output to where marginal revenue equals average revenue
 - B decrease the product's price to where average revenue is zero
 - C increase the firm's output to where marginal revenue is zero
 - D increase the product's price to where marginal revenue equals average revenue
36. What is likely to have its cause in the separation of ownership and control in a firm?
- A contestable markets
 - B diseconomies of scale
 - C principal-agent problem
 - D prisoner's dilemma

37. In September 2008 Google introduced its Chrome web browser. The table shows the market percentage (%) share of different web browsers between September 2008 and June 2014.

web browser	% share in September 2008	% share in June 2014
Internet Explorer	67.2	21.0
Firefox	25.8	17.9
Safari	3.0	10.3
Opera	2.8	1.8
Chrome	1.0	45.5
others	0.2	3.5

What can be concluded from the table about the change in market concentration ratios between 2008 and 2014?

	5-firm concentration ratio	3-firm concentration ratio
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

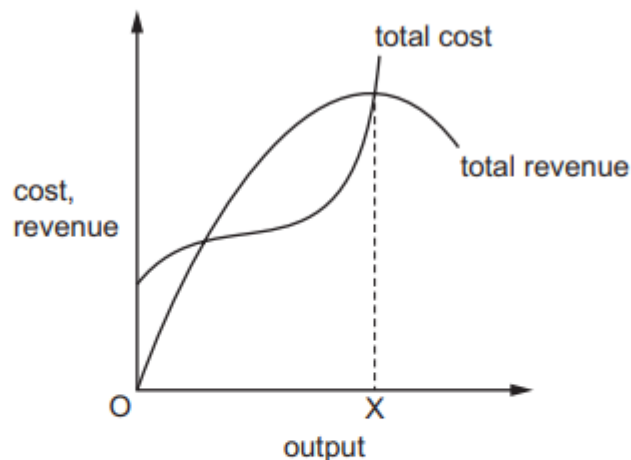
38. The data below relates to a firm over three years.

	year 1	year 2	year 3
sales (\$m)	120	140	135
pre-tax profit (\$m)	30	25	10
net capital employed (index no. year 1)	100	95	120

Over which period could the firm definitely be said to have grown in size?

	between years 1 and 2	between years 2 and 3	between years 1 and 3
A	no	no	yes
B	no	yes	no
C	yes	no	no
D	yes	yes	yes

39. In which circumstances are a firm's objectives most likely to differ from profit maximisation?
- A when a firm finances new investment largely by retained profits
 - B where firms are companies with very active shareholders
 - C where investment banks make takeovers easy to implement
 - D where there are a large number of individual shareholders in a firm run by employed managers
40. What is most likely to indicate that a firm is run in the interests of management rather than the owners?
- A the financing of investment largely by the issue of bonds
 - B the opportunity for managers to buy shares at a reduced price
 - C the payment of high dividends to shareholders
 - D the presence of 'X' inefficiency
41. The diagram shows cost and revenue of a monopoly that decides to produce at OX.



What can definitely be confirmed as the firm's aim?

- A growth rate maximisation
- B long-run profit maximisation
- C sales revenue maximisation
- D short-run profit maximisation

42. Which practices would be classified as price discrimination?

	charging higher rail fares to meet the additional costs of train companies	charging lower return flight fares from Kuala Lumpur to Hong Kong for passengers who stay overnight on a Saturday in Hong Kong
A	no	no
B	no	yes
C	yes	no
D	yes	yes

43. A firm successfully engages in a policy of predatory pricing.

What will happen to the prices charged by the firm in the short run and in the long run?

	prices in the short run	prices in the long run
A	rise	rise
B	rise	fall
C	fall	rise
D	fall	fall

44. The takeover of a life assurance company by a bank is an example of

- A** horizontal integration.
- B** lateral integration.
- C** vertical backwards integration.
- D** vertical forwards integration.

45. The table shows percentage (%) market share of smartphone operating systems (OS) for Great Britain (GB) and the United States (US) in January 2012 and July 2015.

OS system	GB 2012 (%)	GB 2015 (%)	US 2012 (%)	US 2015 (%)
V	49.3	54.3	43.0	65.6
W	15.7	1.0	3.3	0.4
X	29.3	32.7	50.6	30.1
Y	2.4	12.0	2.1	3.8
Z	3.3	0.0	1.0	0.1

What can be concluded from the table about changes between 2012 and 2015?

- A The dominant firm in each country increased its market power.
 - B The firms counted in the three-firm concentration ratio remained the same in both countries.
 - C The three-firm concentration ratio decreased in both countries.
 - D The three-firm concentration ratio showed the same trend in both countries.
46. Firms can grow internally or externally.

What is a characteristic of external growth?

- A direct investment in productive facilities in foreign countries
 - B growth that results in external economies benefiting other firms
 - C growth that results from mergers with, or acquisitions of, other firms
 - D the financing of investment by the issue of bonds rather than retained profits
47. What would encourage an increase in the number of small firms?
- A increasing government regulation of conditions in the workplace
 - B more risk-averse (safety first) lending policies by banks
 - C stronger government laws against the growth of monopoly
 - D tougher penalties in the case of personal bankruptcy

48. The theory of contestable markets can be applied to

- A** monopolistic competition, monopoly and oligopoly.
- B** monopolistic competition only.
- C** monopoly and oligopoly only.
- D** monopoly only.

49. Firms X and Y merge in a horizontal integration.

What must be true about the industry and the stage of production in which X and Y operate?

	industry	stage of production
A	different	different
B	different	same
C	same	different
D	same	same

50. In which industrial sector is a small firm most likely to survive?

- A** banking
- B** construction
- C** insurance
- D** mining

51. A firm wishes to avoid attracting competition from new entrants. It charges the maximum price that is consistent with this aim.

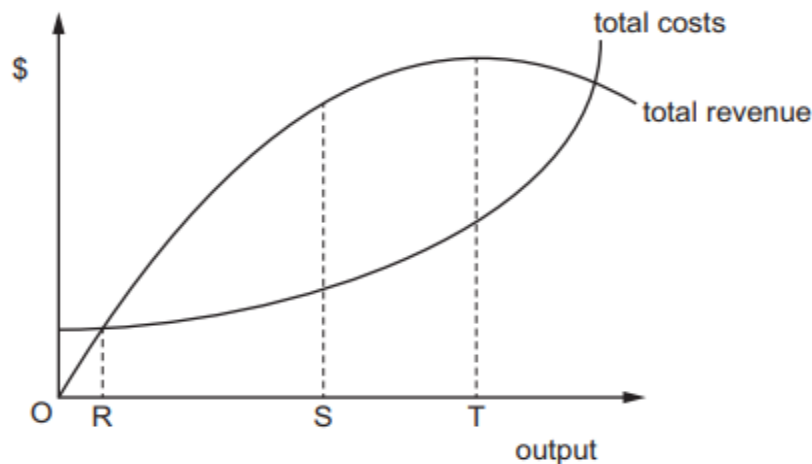
In which type of market does this firm operate?

- A** a contestable market
- B** a monopolistically competitive market
- C** a monopsonistic market
- D** a perfectly competitive market

52. What would **not** be an indication of a divergence between the interests of the managers and the shareholders of a company?
- A an emphasis on sales maximisation
 - B management salaries which are linked to the long-run growth of the company's share price
 - C the acceptance of 'X' inefficiency in the company's production process
 - D the purchase of artwork for a company's headquarters

53. What is an example of horizontal integration?
- A A bank takes over a travel agent.
 - B A car manufacturer buys a component supplier.
 - C A cotton mill doubles its output of existing products.
 - D Two breweries merge.

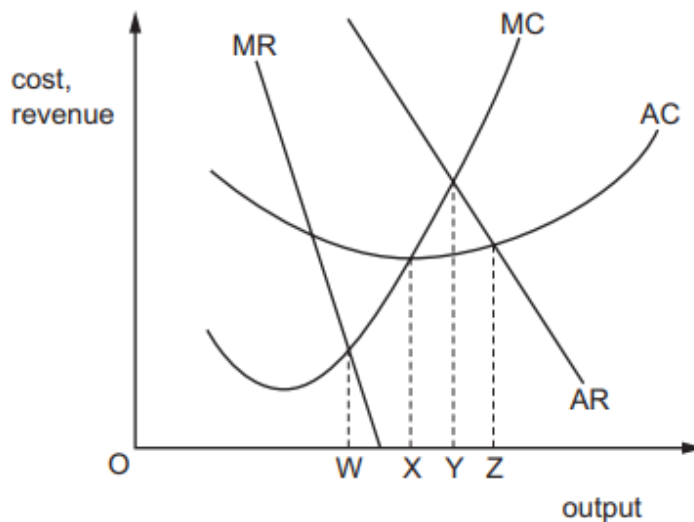
54. The diagram shows a firm that is a sales revenue maximiser.



What is correct for this firm?

- A Output takes place at R and price is at its highest.
- B Output takes place at S and profits are maximised.
- C Output takes place at T and price is equal to the profit maximising price.
- D Output takes place at T and price is lower than the profit maximising price.

55. What is an essential feature of the principal-agent problem?
- A** the aim of the firm is profit maximisation
 - B** the need for co-operation between firms in the same industry
 - C** the separation of ownership and control
 - D** the uncertainty about a rival competitor's pricing policy
56. Which characteristic of an industry works towards reducing the barriers to entry for new firms?
- A** significant advertising expenditure by existing firms
 - B** significant economies of scale
 - C** the absence of large costs associated with investment in capital assets
 - D** the possession by existing firms of product and process patents
57. The diagram shows a profit-maximising firm's cost and revenue curves.



What would be the increase in the firm's output if it was required to charge a price equal to marginal cost?

- A** WX
- B** WY
- C** XY
- D** XZ

58. What must be different between the consumers of a product to enable profitable price discrimination by the producer?
- A** levels of income
 - B** price elasticities of demand
 - C** the ages of the consumers
 - D** time of consumption
59. An example of forward vertical integration for a computer manufacturer would be a merger with
- A** another computer manufacturer.
 - B** a computer retailer.
 - C** a silicon chip manufacturer.
 - D** a software developer.
60. What would be most likely to allow the survival of small firms in an economy?
- A** an increase in the cost of borrowing from commercial banks
 - B** an increase in personal services as a share of GDP
 - C** an increase in the rate of change of information technology
 - D** an increase in the ratio of capital to labour employed in an economy

**MONOPOLY &
MONOPOLISTIC
COMPETITION
(MARKING SCHEME)**

Question	Answer	Marks
1	Evaluate the view that monopolistically competitive firms will always charge lower prices and operate more efficiently than a monopoly firm. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Characteristics of a monopolistically competitive market should be described. • Difference between short run and long run profit maximizing output in monopolistically competitive markets. • A monopoly market should be described, including main characteristics and key difference between this type of market and monopolistic competition i.e. barriers to entry. • Different types of efficiency should be identified and explained. • Analysis should discuss the links between monopoly and higher prices and inefficiency. This analysis can then be used to compare both monopoly and monopolistically competitive markets. • Analysis should then be used to compare short run and long run outcomes on both types of market. AO3 Evaluation • Some monopolies might invest in new technology and achieve dynamic efficiency. This will enable lower average total costs and an opportunity to pass the benefits of lower costs on in the form of lower prices. • Similarly, monopolies might benefit from economies of scale which might also lead to lower prices. • Monopolistically competitive firms might incur additional costs through the need to engage in non-price competition. This might lead to higher prices. • Monopolistically competitive firms will achieve productive efficiency in the long run but a profit maximizing firm will not operate at an allocatively efficient level of output. • A conclusion should attempt to address each element of the statement by addressing both price levels and efficiency outcomes in relation to both types of market structure. The key word 'always' should be considered in the light of the preceding argument. Accept all valid responses	20
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

Question	Answer	Marks
2	Some firms frequently use price discrimination. Assess the view that when this occurs, price discrimination will always benefit the producer at the expense of the consumer and society. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The key characteristics for effective price discrimination (PD) to take place. (Ability to set price, separable markets with different price elasticities of demand) • The use of practical examples to illustrate the meaning of PD. • An explanation / analysis of at least one model of PD to show the effects on the producer in terms of price, output and profit. • An explanation / analysis of PD on the consumer in terms of price and quantity demanded. • The use of relevant labelled diagrams (not mandatory)	20

Question	Answer	Marks
2	AO3 Evaluation If firms are rational profit – maximisers, the firms must benefit from their action therefore the initial point that the producer will always benefit is true. As total spending on the good / service takes place this represents a transfer of consumer surplus to the producers. But it depends on whether the firms gain at the expense of consumer and society. If the price discrimination exists between domestic and foreign markets The producer may also be able to drive competition from the foreign market if it charges high domestic prices / recovers overheads domestically. This may improve a country's balance of payments. Some consumers gain and some lose. The lower price in the low PED market will benefit those consumers in that market whilst the opposite occurs in the High PED market. The increase in profits may allow the producer to increase its research and development leading to innovative production techniques which lower long term costs – dynamic efficiency. The benefits of the dynamic efficiency may be enjoyed by consumers / society as lower prices. The assessment of the statement should conclude with the view that it should benefit the producer as a matter of rationality but whether this is always at the expense of consumers / society is debateable. Accept all valid responses.	
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

Question	Answer	Marks
3	A government allows the merger of two large firms in the same industry. With the help of a diagram evaluate the view that this merger should not have been allowed. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • This merger is an example of horizontal integration where two firms merge at the same level in the production cycle. • Mergers of two large firms producing similar goods, at the same level in the production cycle is likely to lead to a monopoly market structure. • Monopoly providers, through market dominance, can raise prices and drive smaller firms out of business. A diagram might provide supporting analysis. • Given the nature of the goods provided, this merger might also lead to significantly less choice. • A large, dominant organization might have less incentive to operate efficiently and X inefficiencies might occur. • Analysis of the potential negative impact on the local labour market. NOTE: Limit of Level 2 if no relevant diagram AO3 Evaluation • Merging firms might argue that an increase in size will lead to more opportunities to provide a wide range of goods and therefore more consumer choice. • Also, it is possible that the merger will lead to an increase in dynamic efficiency and this increase would allow long term more investment and ultimately lower prices. A supporting diagram can be provided. • Such a merger will enable the firms to benefit from economies of scale. For example, reducing managerial inefficiencies. This could also lead to lower prices. • Any potential negative effects of this merger can be accounted for by government intervention and regulation when the merger takes place. • A conclusion should refer to the preceding analysis and then make some attempt to make a judgement whether, on balance, the merger should proceed. Accept all valid responses.	20
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

Question	Answer	Marks
4	Evaluate the consequences for the price and output of a firm if it changes its objective from profit maximisation to sales maximisation as a response to the principal-agent problem. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content AO1 Knowledge and understanding and AO2 Analysis • Definition/explanation of profit and sales maximisation (SM). • Explanation of the meaning of principal-agent problem. • Analysis of the profit maximisation in terms of $MR = MC$ and the equilibrium price and output of the firm. • Analysis of the SM in terms of $AR = AC$ and the equilibrium price and output of the firm. • Comparison of the price and output decisions of the alternative objectives. • Relevant diagrams may be used. AO3 Evaluation • Profit maximisation results in a higher price and lower quantity than SM. • Welfare benefits to consumer, as producer surplus is transferred to consumer. • Greater equality. • Misdirection of resources to SM firms therefore reduction in allocative efficiency. Accept all valid responses.	20

Question	Answer	Marks
5	Privatisation is often required by the International Monetary Fund (IMF) and the World Bank before they are prepared to offer support to countries requiring loans, grants, debt relief and debt cancellation programs. Evaluate the view that privatisation will always improve the allocation of resources in a country. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Definition/explanation of privatisation: the selling of state-owned corporations (the meaning of the term can include the provision of services and goods by private firms). • Explanation of productive/allocative efficiency. X-inefficiency. • A model of monopolistic competition/oligopoly/monopoly is used to analyse the effects on efficiency of shifting to privatised economy • Definition/explanation of a market economy. • Development of benefits of privatisation: – Greater competition in the market if an industry is privatised as competing firms. – Greater scrutiny of operation by shareholders should hold the company to account and increase efficiency. – Wider access to funds - not dependent on a government's wider economic concerns. • Analysis may be in terms of comparing the monopoly model with one which is more competitive e.g. monopolistic competition or oligopoly and drawing the relevant inferences. • Relevant diagrams correctly drawn and labelled with accurate reference to them in the text. • Reduction in the need for the government to finance the activity and the implications for fiscal policy. • A further source of funds for the government that can be used to repay government debt and reduce the burden of interest payments. The funds can be devoted to education/health services improving economic development. • The cost of a loss-making state industry is no longer borne by the general tax-payer.	20

Question	Answer	Marks
5	AO3 Evaluation • Evaluation against productive, allocative and/or dynamic efficiency. • Privatisation may lead to the break-up of a natural monopoly e.g. railways/water pipelines. The problem of the 'final mile delivery'. • A state monopoly may simply be replaced with a private monopoly. Competition may be unrealistic due to high barriers to entry (BTE). • Many privatisations are accompanied by an industry regulator which suggests that the privatisation needs policing. The amount and direction of investment, and the pricing strategy are reviewed to maintain the industry's efficiency. • Equity the transfer of profitable state-owned assets to private individuals means the contribution they might make to the state funds are lost. • Often there is a loss of employment in the industry and the burden of unemployment pay falls on the government raising the fiscal deficit or requiring more borrowing. • Private firms are only concerned with private costs and benefits, they ignore negative externalities and their consequences. Accept all valid responses.	

Question	Answer	Marks
6	Evaluate, with the help of a diagram(s) how total market demand and minimum efficient scale may determine the form of market structure in an industry. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 14 marks. AO3 out of 6 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The concepts of increasing/constant/decreasing returns to scale and the minimum efficient scale (MES) of production the level of output where LRAC are initially minimized. • The explanation of a number of examples of economies of scale: division of labour, financial, marketing, managerial technical and their impact on the long run average cost curve (LRAC). • An analysis of the relationship between total demand for a product and the minimum efficient scale effectively total demand divided by MES to give the maximum number of firms who could operate at the MES. • A description of different forms of market structure eg perfect competition, monopolistic competition, oligopoly or monopoly. • An analysis of the relationship between the MES and the market demand determining the number of firms many/a few/one equivalent to perfect competition, monopolistic competition, oligopoly or monopoly. • Examples MES and market demand. MES = 50% therefore in theory 2 firms – a duopoly MES 2% therefore 50 firms perfect/monopolistic competition. • Relevant diagram for economies of scale with indication of MES and demand curve. AO3 Evaluation • MES is not static and may change over time eg technological change. • The definition of the market will affect the calculation of the relationship. The village shop which operates at a small scale is appropriate for the village market. • Markets will still exist where particular firms produce small scale high-cost items e.g. luxury cars or designer clothes to satisfy a niche portion of a bigger market. Accept all valid responses	20
	AO1 Knowledge and understanding and AO2 Analysis	14
	AO3 Evaluation	6

MONOPOLY & MONOPOLISTIC COMPETITION

A LEVEL

ECONOMICS P3

1.	B	16.	B	31.	B	46.	C
2.	C	17.	D	32.	C	47.	C
3.	C	18.	A	33.	B	48.	A
4.	A	19.	A	34.	B	49.	D
5.	D	20.	C	35.	C	50.	B
6.	A	21.	D	36.	C	51.	B
7.	B	22.	D	37.	A	52.	B
8.	D	23.	C	38.	A	53.	D
9.	C	24.	A	39.	D	54.	D
10.	A	25.	B	40.	D	55.	C
11.	D	26.	D	41.	C	56.	B
12.	B	27.	B	42.	B	57.	B
13.	C	28.	C	43.	D	58.	B
14.	A	29.	C	44.	B	59.	B
15.	B	30.	C	45.	D	60.	B